RAY KIM LAW, APC
Raymond Y. Kim (SBN 251210)
355 South Grand Avenue, Suite 2450
Los Angeles, CA 90071
Telephone: 833-729-5529
Facsimile: 833-972-9546
ray@raykimlaw.com

Attorneys for Plaintiff
Miguel Lerma, Jr.

(Additional counsel on the following page)

UNITED STATES DISTRICT COURT

CENTRAL DISTRICT OF CALIFORNIA

MIGUEL LERMA, JR., individually and on behalf of all others similarly situated,

Plaintiffs,

v.

AMAZON.COM SERVICES, LLC., AMAZON LOGISTICS, INC., ACCURATE BACKGROUND, LLC, and DOES 1-5,

Defendants.

Case No.: 8:22-cv-01727 -FWS-JDE

JOINT RULE 26(f) REPORT

Judge Fred W. Slaughter
Magistrate Judge John D. Early

Date: March 16, 2023
Time: 9:00 a.m.
Courtroom: 10D

MORGAN, LEWIS & BOCKIUS LLP
Andrew P. Frederick, Bar No. 284832
andrew.frederick@morganlewis.com
Aleksandr Markelov, Bar No. 319235
aleksandr.markelov@morganlewis.com
1400 Page Mill Road
Palo Alto, CA 94304
Tel: +1.650.843.4000
Fax: +1.650.843.4001

Attorneys for Defendants
AMAZON.COM SERVICES, LLC
and AMAZON LOGISTICS, INC.

Ronald I. Raether, Bar No. 303118
ron.raether@troutman.com
TROUTMAN PEPPER HAMILTON SANDERS LLP
5 Park Plaza, Suite 1400
Irvine, CA 92614-2545
Telephone: 949.622.2700
Facsimile: 949.622.2739

Jessica Lohr, Bar No. 302348
jessica.lohr@troutman.com
TROUTMAN PEPPER HAMILTON SANDERS LLP
11682 El Camino Real, Suite 400
San Diego, CA 92130-2092
Telephone: 858.509.6000
Facsimile: 858.509.6040

Attorneys for Defendant
ACCURATE BACKGROUND LLC

Pursuant to Federal Rule of Civil Procedure 26 and this Court's Order Setting Rule 26(f) Scheduling Conference, Plaintiff Miguel Lerma ("Plaintiff") and defendants Amazon.com Services, LLC and Amazon Logistics, Inc. (together "Amazon") and Accurate Background, LLC ("Accurate") (collectively "Defendants") by and through their respective counsel of record, submit this Joint Rule 26(f) Report as follows:

a. Statement of the Case

Plaintiff's Statement

Plaintiff brings this class action for damages, and other legal and equitable remedies, resulting from: (i) Amazon's and Accurate's unlawful and unfair conduct in using information disclosed in the California Department of Justice Megan's Law Website ("Megan's Law Website") for employment purposes; (ii) Amazon's failure to conduct an individualized assessment of whether Plaintiff's conviction history has a direct and adverse relationship with the specific duties of an Amazon Fresh store associate that justified denying him the position; and (iii) Accurate Background's unlawful and unfair conduct in furnishing consumer background reports to Amazon while knowing that Amazon (and Accurate itself as an agent and fiduciary representative of Amazon) unfairly and unlawfully uses information contained in the consumer reports. In so doing, Amazon has violated the: (i) California Megan's Law, Penal Code § 290.46 ("Megan's Law"); (ii) California Fair Chance Act, Government Code § 12952; and (iii) California Unfair Competition Law ("UCL"), Business and Professions Code § 17200. Accurate has violated the: (i) Megan's Law, as Amazon's agent and fiduciary representative; (ii) federal Fair Credit Reporting Act ("FCRA"), 15 U.S.C. § 1681b(b)(2); and (iii) the UCL. Plaintiff brings these claims on behalf of other similarly situated California residents.

Plaintiff was previously employed with Amazon as a seasonal employee. The seasonal position with Amazon was to end in March 2022. On February 26, 2022, Amazon emailed Plaintiff stating: "The last day of employment will be the date that was communicated to you on the notification you received. ***You are marked as re-hire eligible and can reapply at any time after your assignment has officially ended*** and your separation has been processed." On February 28, Amazon emailed Plaintiff stating, "Thank you for contacting the Employee Resource Center (ERC) today! ***We are glad to hear that you want to continue working for us as a Permanent associate***!" On March 4, 2022, Plaintiff's seasonal employment ended with Amazon ended, and Plaintiff applied to be a store associate with Amazon at its Amazon Fresh store in Mission Viejo. His primary responsibilities as a store associate were to fulfill online Amazon Fresh orders, receive stock and replenish products. To Plaintiff's shock and dismay, Defendants denied Plaintiff the store associate position. Defendants found that Plaintiff was a registered sex offender on the Megan's Law website and summarily concluded that Plaintiff was unfit for the position. Accurate admits, and Plaintiff's background report shows, that Accurate reviewed information in the National Sex Offender Database (the "National Database"). The National Database only contains information from various State sex offender registries, such as the Megan's Law website. Thus, it is indisputable that Accurate used information from the Megan's Law website for Plaintiff's background report, and as a result Defendants used the website to deny Plaintiff employment.

What is more, at no time did Amazon conduct an individualized assessment of whether Plaintiff's conviction history has a direct and adverse relationship with the specific duties of an Amazon Fresh store associate. Amazon did not even consider the fact that it had previously employed Plaintiff. Thus, Amazon violated the Fair Chance Act. Finally, Accurate furnished the background report

to Amazon with knowledge that the information will be used in violation of the law, including the Megan's Law. In fact, Accurate itself, as an agent and fiduciary representative for Amazon, used the consumer report in violation of Megan's Law by making employment decisions on behalf of Amazon based on information from the Megan's Law site. Thus, Accurate violated the FCRA.

The Megan's Law, the Fair Chance Act, and the FCRA were enacted to protect prospective employees like Plaintiff. Plaintiff and others like him deserve a fair shot to be gainfully employed and productive, contributing members of society. Companies like Amazon and Accurate, the largest in their respective industries, should not be permitted to shirk their legal and social obligations to the communities they serve. They must be held accountable.

Amazon's Statement

Amazon did not engage in any conduct that violated the Megan's Law, the California Fair Chance Act, the Unfair Competition Law, or any other provision of law. As discussed further in Amazon's pending motion to dismiss, Accurate Background provided Amazon with a background check report on Plaintiff that captured searches Accurate ran on Plaintiff's criminal history in various courts, including Orange County Superior Court. The search of criminal records in Orange County identified Plaintiff's felony convictions for rape duress menace and rape by use of drugs. The background check report did not contain any information obtained from the Megan's Law website. In rescinding Plaintiff's conditional job offer as an Amazon Fresh store associate, Amazon relied upon the criminal history information from Orange County Superior Court contained in the background check report, not information disclosed on the Megan's Law website. Amazon's consideration of Plaintiff's felony conviction history therefore was permissible. Plaintiff's derivative claim under California's Unfair Competition Law ("UCL") fails for the same reason.

In addition, Amazon fully complied with the California Fair Chance Act in denying Plaintiff employment. Amazon conducted an individualized assessment of Plaintiff's conviction history and made a preliminary decision to deny Plaintiff employment. Amazon then sent Plaintiff a pre-adverse action notice identifying the criminal convictions that formed the basis of the possible adverse decision. Through this notice, Amazon provided Plaintiff with an opportunity to submit evidence of rehabilitation or mitigating circumstances, which he failed to do. Subsequently, Amazon issued Plaintiff a final adverse action notice, which contained all notices required by the California Fair Chance Act.

Accurate's Statement

Accurate did not engage in any conduct that violated the Megan's Law, the FCRA, the UCL, or any other provision of law. To begin with, Plaintiff voluntarily dismissed the California ICRAA claim against Accurate. As discussed further in Accurate's pending motion to dismiss, the other claims against Accurate must also fail.

In this case, Accurate provided Amazon with a background screening report on Plaintiff, which included criminal records from the Orange County Superior Court. The background check report did not contain any information obtained from the California Megan's Law website. Furthermore, it is improper to assert a Megan's Law claim against a consumer reporting agency ("CRA") like Accurate, given that CRAs are not the "users" of a consumer report. For both of these reasons, Plaintiff cannot assert any Megan's Law claim against Accurate.

In addition, Amazon provided all required certifications to Accurate, as required by the FCRA.

Lastly, the UCL claim is derivative of the other statutory causes of action and will therefore fail for the same reasons.

Accurate also contends that Plaintiff did not suffer any actual damages as a result of Accurate's actions.

b. Subject Matter Jurisdiction

This is an action brought under 15 U.S.C. §§ 1681b, 1681n and § 1681o of the FCRA. This Court has jurisdiction over this action pursuant to 28 U.S.C. § 1331 because it arises under the laws of the United States. This Court also has jurisdiction over this action pursuant to the Class Action Fairness Act, 28 U.S.C. § 1332(d)(1). Plaintiff brings a class action under Federal Rule of Civil Procedure 23. Plaintiff and Amazon are citizens of different states, and on information and belief, the amount in controversy exceeds the sum of $5,000,000.00.

c. Legal Issues

The primary legal issues are: (i) whether Defendants violated the Megan's Law by using information from the National Sex Offender Database and Megan's Law website for employment purposes; (ii) whether Amazon violated the Fair Chance Act by failing to conduct an individualized assessment of whether Plaintiff's conviction history has a direct and adverse relationship with the specific duties of an Amazon Fresh store associate; (iii) whether Accurate violated the FCRA by furnishing the background report to Amazon with knowledge that the information will be used in violation of the law, including California's Megan's Law; (iv) whether Defendants conduct was unlawful or unfair in violation of the UCL; and (v) whether Plaintiff's claims in the First Amended Complaint ("FAC") are suitable for determination on a class-wide basis under Federal Rule of Civil Procedure 23(a), 23(b)(2), and 23(b)(3).

On December 15, 2022, Amazon moved to dismiss the first and fifth claims in the FAC, and Accurate moved to dismiss the FAC in its entirety. The motions are fully briefed, and the Court took the motions under submission. Following the pleadings stage, Plaintiff will move to certify the classes defined in the FAC.

d. Damages

Plaintiff will seek all legal and equitable relief available to him and the Classes based on the Megan's Law, Fair Chance Act, FCRA, and UCL. Defendants dispute these contentions and deny that Plaintiff has suffered any recoverable damages against them.

e. **Parties and Evidence**

1. **Plaintiff:** Miguel Lerma, Jr.

2. **Defendants:** Amazon.com Services, LLC and Amazon Logistics, Inc. Amazon.com Services, LLC is wholly owned by Amazon.com Sales, Inc. Amazon.com, Inc. wholly owns Amazon.com Sales, Inc. Accurate Background LLC.

3. **Percipient witnesses:**

Plaintiff: Plaintiff anticipates obtaining evidence and presenting the following witnesses and key documents in this matter. Plaintiff's investigation is pending and reserves the right to updates this Statement.

a. Plaintiff
b. Daniella Dervin, Recruiter, Amazon Physical Stores
c. Amazon's person most knowledgeable relating to the categories and topics for the key documents listed below
d. Accurate's person most knowledgeable relating to the categories and topics for the key documents listed below

Amazon: Plaintiff and a corporate representative of Amazon knowledgeable about its background check policies and processes. Amazon anticipates that additional witnesses may be identified as discovery progresses.

Accurate: Plaintiff, any percipient witnesses involved in the underlying application for employment, and a corporate representative of Accurate. Accurate's investigation is pending and Accurate reserves the right to identify additional witnesses through the discovery process.

4. Key Documents:

Plaintiff:

a. Plaintiff's employment file with Amazon and Accurate;
b. Plaintiff's application file with Amazon and Accurate;
c. Job posting and roles and responsibilities for Amazon Fresh Store Associate position in 2022
d. Amazon's agreement with Accurate
e. Amazon's communications with Accurate relating to the parties' relationship and services
f. Amazon's policies and procedures for conducting individualized assessments of prospective employees
g. Amazon's policies and procedures for compliance with the Megan's Law
h. Amazon's policies and procedures for compliance with the Fair Chance Act
i. Amazon's communications relating to compliance with the Megan's Law
j. Amazon's communications relating to compliance with the Fair Chance Act
k. Amazon's communications relating to Plaintiff
l. Amazon's policies and procedures relating to the handling of prospective employee applications with conviction histories
m. Documents supporting Plaintiff's and class members' damages
n. Written complaints to Amazon relating to compliance with the Megan's Law
o. Written complaints to Amazon relating to compliance with the Fair Chance Act

p. Accurate's communications with Amazon relating to the parties' relationship and services

q. Accurate's policies and procedures for conducting individualized assessments of prospective employees

r. Accurate's policies and procedures for compliance with the Megan's Law

s. Accurate's policies and procedures for compliance with the Fair Chance Act

t. Accurate's communications relating to compliance with the Megan's Law

u. Accurate's communications relating to compliance with the Fair Chance Act

v. Accurate's communications relating to Plaintiff

w. Accurate's policies and procedures relating to the handling of prospective employee applications with a conviction history

x. Written complaints to Accurate relating to compliance with the Megan's Law

y. Written complaints to Accurate relating to compliance with the Fair Chance Act

z. Accurate's policies and procedures relating to compliance with the FCRA, 15 U.S.C. § 1681b

aa. Information from the Megan's Law website and National Sex Offender Database

Amazon: Amazon identifies the following potential key documents: applicable background check policies, background check report Accurate prepared on Plaintiff and provided to Amazon, pre-adverse and adverse action notices, and Orange County Superior Court criminal records concerning Plaintiff.

Amazon anticipates that additional key documents will be identified as discovery progresses. Accurate: Accurate identifies the background report prepared regarding Plaintiff, correspondence or other communications between the parties, the underlying court records concerning Plaintiff, and the underlying sex offender registry information concerning Plaintiff. Accurate anticipates that additional key documents will be identified as discovery progresses.

f. Insurance

The Parties are not currently aware of any insurance coverage applicable to this matter.

g. Manual for Complex Litigation

The parties agree to discuss using Section 21 of the Manual for Complex Litigation as appropriate.

h. Motions

The parties do not foresee filing any motions seeking to add other parties or claims, file amended pleadings (unless pursuant to a court order), transfer venue, or challenge jurisdiction.

i. Dispositive Motions

Amazon filed a Motion to Dismiss the First and Fifth Claims in the First Amended Complaint. Accurate moved to dismiss the FAC in its entirety. The motions are fully briefed and were taken under submission by the Court on February 13, 2023.

The parties reserve the right to move for summary judgment, or alternatively, partial summary judgment following an opportunity to take discovery.

j. Status of Discovery

The Parties discussed an early, informal exchange of discovery, but no documents have been produced to date. Plaintiff will serve written discovery and

anticipates taking Amazon's and Accurate's personal most knowledgeable witness deposition pursuant to Rule 30(b)(6) in May 2023. Amazon has served Plaintiff with written discovery. Amazon intends to depose Plaintiff in late April or early May 2023. Amazon may serve additional written discovery and depose additional individuals as discovery progresses.

Accurate believes discovery should be stayed pending resolution of its motion to dismiss. Once discovery commences, Accurate will serve written discovery. Accurate also intends to depose the Plaintiff and any percipient witnesses identified as having knowledge relevant to Plaintiff's damages. Accurate envisions taking these depositions after it receives responses to written discovery.

k. Discovery Plan

The parties agree to exchange initial disclosures by March 22, 2023. The parties do not believe that there should be any other changes in the disclosures under Rule 26(a). The parties will conduct discovery pursuant to the Federal Rules of Civil Procedure, C.D. Cal. Local Rules, and this Court's Civil Standing Order. The parties do not propose any phasing or otherwise propose any modifications to the existing discovery rules at this time.

The parties recognize that there may be electronic records and information relevant to this lawsuit, and if the production of electronic records becomes necessary, the parties will meet and confer over the form and production of such information. The parties agree that no relevant evidence, electronic or otherwise, will be destroyed, altered, or deleted. The parties also agree to electronic service of documents, including discovery.

The parties have no privilege or protection issues to identify. The parties agree that to the extent any party intends to assert a claim of privilege or protection as trial preparation material, any such claim must be made in a timely

manner and in accordance with Fed. R. Civ. P. 26(b)(5). Defendants' position it that communications made after the attorney had been retained in this matter do not need to be stated on any privilege log. Plaintiff disagrees initially, but agrees to further discuss this issue with Defendants at a later time. The parties agree that inadvertent production of privileged materials shall not constitute a waiver of privileges or protections so long as the producing party notifies the receiving party promptly upon discovery of the inadvertent production. Disputes concerning privileges and protections shall be addressed in accordance with Fed. R. Civ. P. 26(b)(5)(B).

The parties anticipate they will agree upon and submit to the Court a proposed stipulated protective order, which will apply to confidential and/or privileged information produced and/or requested in discovery.

l. Discovery Cutoff

November 9, 2023, which is 26 weeks before the Final Pretrial Conference in this matter.

m. Expert Discovery

The parties propose the following expert discovery deadlines.

- November 9, 2023 - deadline for initial expert disclosures.
- December 7, 2023 - deadline for expert rebuttal.
- January 11, 2024 - deadline for expert discovery.

n. ALTERNATIVE DISPUTE RESOLUTION

The parties have not engaged in settlement negotiations to-date.

The parties select ADR Procedure No. 2, a mediation with a neutral selected from the Court Mediation Panel.

o. Trial Estimate

The parties estimate that a jury trial in this matter will take 6-7 days, although the number of days likely will vary depending on whether the case is

tried on a class or individual basis. This estimate includes *voir dire* and potentially two to three witnesses on each side.

p. Trial Counsel

For Plaintiff:

RAY KIM LAW, APC
Raymond Y. Kim (SBN 251210)
355 South Grand Avenue, Suite 2450
Los Angeles, CA 90071
Telephone: 833-729-5529
Facsimile: 833-972-9546
ray@raykimlaw.com

For Accurate:

Ronald I. Raether, Bar No. 303118
ron.raether@troutman.com
TROUTMAN PEPPER HAMILTON SANDERS LLP
5 Park Plaza, Suite 1400
Irvine, CA 92614-2545
Telephone: 949.622.2700
Facsimile: 949.622.2739

Jessica Lohr, Bar No. 302348
jessica.lohr@troutman.com
TROUTMAN PEPPER HAMILTON SANDERS LLP
11682 El Camino Real, Suite 400
San Diego, CA 92130-2092
Telephone: 858.509.6000
Facsimile: 858.509.6040

For Amazon:

MORGAN, LEWIS & BOCKIUS LLP
Andrew P. Frederick (SBN 284832)
Aleksandr Markelov (SBN 319235)
1400 Page Mill Road
Palo Alto, CA 94304
Tel: +1.650.843.4000
Fax: +1.650.843.4001
andrew.frederick@morganlewis.com
aleksandr.markelov@morganlewis.com

q. Magistrate Judge

The parties do not consent to have a magistrate judge preside over all proceedings in this action.

r. Independent Expert or Master

The parties do not foresee the need for an independent master at this time.

s. Scheduling Worksheet

Please see attached the parties' proposed schedule of pretrial and trial dates. The Parties are in agreement on the proposed dates included in "Plaintiff's" column.

t. Class Actions

The parties propose the following briefing schedule for Plaintiffs' motion to class certification:

- September 14, 2023 – last day to file motion for class certification
- October 12, 2023 – last day to file opposition brief
- November 2, 2023 – last day to file reply brief
- Thursday, November 30, 2023 – hearing on motion for class certification

The proposed deadline to file is beyond the Court ordered deadline of 120 days after the original date set for the Scheduling Conference in this matter. However, Defendants' pleadings challenges are pending and it is unclear if all claims in the FAC will survive. As such, the parties propose September 14, 2023 as the deadline for Plaintiff to move for class certification and will file a stipulation for the Court's consideration. In the event that the Court will not extend the filing deadline, the parties propose giving Defendants four weeks to file an opposition to the class certification motion, and Plaintiff three weeks to file a reply brief.

///

///

u. Other Issues

The parties do not foresee other issues affecting the status or management of the case.

Respectfully submitted,

RAY KIM LAW, APC

Dated: March 2, 2023

By: */s/ Raymond Y. Kim*[1]
Raymond Y. Kim
Attorneys for Plaintiffs
Miguel Lerma and the Classes

Dated: March 2, 2023

MORGAN, LEWIS & BOCKIUS LLP

By: _____
Andrew P. Frederick
Aleksandr Markelov
Kassi Stephenson

Attorneys for Defendants
AMAZON.COM SERVICES, LLC: AMAZON LOGISTICS

Dated: March 2, 2023

TROUTMAN PEPPER HAMILTON SANDERS LLP

By: */s/ Jessica R. Lohr*
Jessica Lohr
Ronald I. Raether

Attorneys for Defendants
ACCURATE BACKGROUND LLC

[1] Pursuant to Local Rule 5-4.3.4(a)(2)(i), I hereby attest that all other signatories listed, and on whose behalf the filing is submitted, concur in the filing's content and have authorized the filing.

JUDGE FRED W. SLAUGHTER

SCHEDULE OF PRETRIAL AND TRIAL DATES WORKSHEET

Please complete this worksheet jointly and file it with your Joint Rule 26(f) Report.
The parties must make every effort to agree on dates or the court will set them.

Case No. 8:22-cv-01727-FWS-JDE	**Case Name:** Miguel Lerma, et al. v. Amazon.com Services, LLC, et al.

Trial and Final Pretrial Conference Dates		**Pl(s)' Date mm/dd/yyyy**	**Def(s)' Date mm/dd/yyyy**	**Court Order mm/dd/yyyy**
Check one: [X] Jury Trial or [ ] Bench Trial **[Tuesday at 8:30 a.m., within 18 months after Complaint filed]** Estimated Duration: 6-7 Days		May 28, 2024	Same	[ ] Jury Trial [ ] Bench Trial _____Days
Final Pretrial Conference ("FPTC") [L.R. 16], Hearing on Motions *in Limine* **[Thursday at 8:30 a.m., at least 12 days before trial]**		May 9, 2024	Same	
Event [1] ***Note:*** Hearings shall be on Thursdays at 10:00 a.m. Other dates can be any day of the week.	**Weeks Before FPTC**	**Pl(s)' Date mm/dd/yyyy**	**Def(s)' Date mm/dd/yyyy**	**Court Order mm/dd/yyyy**
Last Date to **Hear** Motion to Amend Pleadings/Add Parties [Thursday]		June 1, 2023	Same	
Non-Expert Discovery Cut-Off **(no later than deadline for filing dispositive motions)**	26	Nov. 9, 2023	Same	
Expert Disclosure (Initial)	24	Nov. 9, 2023	Same	
Expert Disclosure (Rebuttal)	22	Dec. 7, 2023	Same	
Expert Discovery Cut-Off	20[2]	Jan. 11, 2024	Same	
Last Date to **Hear** Motions [Thursday] • Motion for Summary Judgment due at least 6 weeks before hearing • All other motions due at least 4 weeks before hearing • Opposition due 2 weeks after Motion is filed • Reply due 1 week after Opposition is filed	12	Feb. 15, 2024	Same	
Deadline to Complete Settlement Conference [L.R. 16-15] *Select one:* [ ] 1. Magistrate Judge (with Court approval) [ ] 2. Court's Mediation Panel [ ] 3. Private Mediation	10	Feb. 29, 2024	Same	[ ] 1. Mag. J. [ ] 2. Panel [ ] 3. Private
Trial Filings (first round) • Motions *in Limine* with Proposed Orders • Memoranda of Contentions of Fact and Law [L.R. 16-4] • Witness Lists [L.R. 16-5] • Joint Exhibit List [L.R. 16-6.1] • Joint Status Report Regarding Settlement • Proposed Findings of Fact and Conclusions of Law [L.R. 52] (bench trial only) • Declarations containing Direct Testimony, if ordered (bench trial only)	3	April 18, 2024	Same	
Trial Filings (second round) • Oppositions to Motions *in Limine* • Joint Proposed Final Pretrial Conference Order [L.R. 16-7] • Joint/Agreed Proposed Jury Instructions (jury trial only) • Disputed Proposed Jury Instructions (jury trial only) • Joint Proposed Verdict Forms (jury trial only) • Joint Proposed Statement of the Case (jury trial only) • Proposed Additional Voir Dire Questions, if any (jury trial only) • Evidentiary Objections to Declarations of Direct Testimony (bench trial only)	2	April 25, 2024	Same	

[1] The parties may seek dates for additional events by filing a separate Stipulation and Proposed Order. Class actions, patent, and ERISA cases may need to vary from the above.
[2] The parties may wish to consider cutting off expert discovery prior to the deadline for filing a motion for summary judgment.